



Central Bank
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Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

December 10, 2024

Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan, Hovhannes Khachatryan; Board Members Hasmik Ghahramanyan, Artak Manukyan, Levon Sahakyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement as well as in Section I, Part B of the Monetary Policy Report.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to address the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

In this context, on the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to uncertainty about the neutral rate in the United States; the country risk premium in the context of potentially more expansionary fiscal policy in the medium term, worsening geopolitical tensions; as well as other risks. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for weaker aggregate demand and labor market conditions; as well as the risk of decreasing inflation expectations due to prolonged low inflation levels; concerns about the impact on aggregate demand under potential adverse developments in the real estate sector; as well as other risks and uncertainties.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed issues related to the outlook for the U.S. economy and uncertainties surrounding Fed monetary policy. M. Galstyan, A. Nurbekyan, H. Khachatryan and N. Ghazaryan raised concerns about the formation of a more expansionary fiscal stance in the medium term, particularly in the context of potential effects on the U.S. neutral interest rate in the case of a sharper increase in the debt burden. Referring to the U.S. presidential elections, A. Nurbekyan and M. Galstyan agreed that, following the elections, an expansionary fiscal stance, along with rising global trade tensions, would have inflationary implications for the world economy. A. Nurbekyan and H. Ghahramanyan emphasized that, following a relatively large reduction in U.S. Federal Reserve interest rates, long-term market interest rates have significantly increased, indicating risks to the upside around the neutral interest rate. At the same time L. Sahakyan mentioned that the neutral interest rate in the U.S. will be in the 3-4% range in the medium term. In this context, A. Manukyan emphasized that the upcoming reduction in the policy interest rate by the U.S. Federal Reserve will create more room for the Central Bank of Armenia to ease its monetary policy. Addressing global economic developments, N. Ghazaryan, L. Sahakyan and H. Khachatryan pointed out risks related to the continued slowdown in domestic demand and economic activity in China, which could affect international commodity prices and the prices of non-food imports in Armenia. Meanwhile, the ongoing deepening of industrial sector issues in the Eurozone could gradually spread to other sectors of the economy. Overall, the Board agreed that, despite the current increase in food prices primarily driven by supply-side factors,

the risks in this regard are balanced in the medium term, and weak inflationary signals can be expected from international commodity markets in the near future.

Discussing the developments in Russia's economy, H. Ghahramanyan expressed concerns that in the medium term, the more stringent and targeted Western sanctions pose significant risks to the medium-term outlook of the Russian economy, which could negatively affect both external demand for services in Armenia and migration flows to Russia, as well as remittances sent to Armenia. The Board members agreed that the Central Bank's restrictive monetary policy could lead to a sharp decline in demand, while M. Galstyan added that a medium-term challenge for the Central Bank is to bring inflation as close as possible to the target with minimal cost.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. All Board members emphasized uncertainty about the output gap and the relative balance between aggregate supply and aggregate demand. H. Khachatryan assesses, the output gap remains in negative territory, especially considering the uneven distribution of economic growth across sectors. Board members pointed out that the private consumption, and especially consumer lending signals strong domestic demand conditions. Additionally, A. Nurbekyan noted, that the current growth in lending indicates a stimulative stance of monetary policy, even if interest rates are not decreasing. On the other hand, H. Khachatryan noted, that the slow decline in interest rates on government securities, AMD-denominated loans, and AMD deposits points to structural factors and likely requires looser monetary conditions.

Board members had a broad discussion on sustained economic activity. The Board agreed that the high activity observed in nearly all sectors significantly contributing to economic growth is also influenced by temporary factors. Special attention was given to developments in the construction industry. All board members expressed concerns about risks associated with a potential slowdown in construction, particularly in the housing sector, which could have a substantial, long-lasting impact on demand conditions. N. Ghazaryan and L. Sahakyan noted that signals of a gradual adjustment in the real estate market are already observable through a decline in rental prices. A. Nurbekyan and H. Ghahramanyan emphasized that macroprudential policy tools have provided adequate buffers to manage financial stability risks stemming from the real estate market.

Addressing labor market developments, the Board members agreed that the significant slowdown in private wage growth, the prevailing low-inflation environment, and the recent outflow of some foreign workers likely indicate a weakening of labor market conditions. H. Khachatryan and A. Manukyan added that weak labor market conditions and low wage dynamics reflect weak demand, both domestic and external. In this context, discussing inflation developments, some Board members, particularly A. Manukyan and N. Ghazaryan, noted that inflation has remained significantly below the target level for an extended period, which could entail risks related to inflation expectations and the recovery process of inflation.

The Board members, discussing developments in fiscal policy, agreed that the risks arising from the continued underperformance in revenue collection could not only have a more stimulative impact on the economy than expected but also pose risks in terms of increasing the fundamental level of the country's risk premium. On the other hand, according to H. Khachatryan, despite the significant increase in state budget expenditures, particularly due to the structural characteristics of capital expenditures, the impact on aggregate demand will be limited.

Considering the ongoing rise in regional and geopolitical tensions, as well as the persistent uncertainties surrounding the fiscal stance and Armenia's risk premium, M. Galstyan and A. Nurbekyan highlighted the risks of an increase in Armenia's neutral interest rate. It was also emphasized that the uncertainty surrounding Armenia's neutral interest rate requires continuous monitoring, as this factor will play a crucial role in shaping future monetary policy decisions.

In summary, within the context of Case A scenarios, the Board highlighted the uncertainties and risks related to the country's risk premium and neutral interest rates, stemming from geopolitical, and fiscal policy-related considerations. Regarding Case B-type risks, the Board noted the potential negative impact of the gradual adjustment in the real estate market on aggregate demand, as well as concerns about weakening labor market conditions and the outlook for the global economy.

H. Khachatryan and A. Manukyan considered a relatively significant reduction in the policy rate at this stage necessary for the prudent management of risks arising from Case B scenarios. M. Galstyan, N. Ghazaryan, H. Ghahramanyan, and L. Sahakyan argued that, although the probability of materializing Case B-type risks dominates, the management of certain Case A-type risks requires a more gradual easing of monetary conditions. A. Nurbekyan emphasized that, from the perspective of achieving policy objectives, the gradual easing of the policy stance in line with market expectations is more effective in balancing the aforementioned risks at the current stage.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

While the Board believes that there is a greater likelihood of Case B-type scenarios materializing, it emphasizes the importance of minimizing the losses that could stem from the Case A-type risks. The Board thus finds it appropriate to continue gradually easing the policy stance. The Board affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 4% inflation in the medium term.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
December 10, 2024 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Decrease by 25 basis points
Artak Manukyan	Decrease by 50 basis points
Hasmik Ghahramanyan	Decrease by 25 basis points
Hovhannes Khachatryan	Decrease by 50 basis points
Armen Nurbekyan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points

B. Final Vote Submissions

December 10, 2024

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I vote to reduce the policy rate by 25 basis points. My decision is motivated by a prudent balancing of both the Case A and Case B type risks. The current economic developments render Case B-type scenarios increasingly plausible. Specifically, along with the slowdown in economic growth and its characteristics in Armenia, the weakening labor market, and the prolonged period of low inflation, pose risks of suppressed demand and a sharp decline in inflation expectations. In the context of Case type-A risks, the primary concerns pertain to the medium-term outlook for the US fiscal policy, rising debt levels, and their potential impact on long-term interest rates. Equally significant are the uncertainties and risks associated with sustained regional and global geopolitical tensions, the fiscal policy of the Armenian government (including a potential increase in budget expenditures and its likely implications for the budget deficit), and uncertainties surrounding the neutral interest rate. However, given a “least regrets” desire to avoid undesirable, dark corner outcomes stemming from some of the Case A-type risks, I believe that a gradual easing of the policy rate best balances the risks and uncertainties at hand. If new information or events emerge that require a reassessment of this balance of risks, I—along with the rest of the Board—express a resolute commitment to adjusting the policy stance in an appropriate and timely manner.

Deputy Governor Armen Nurbekyan

Considering the economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I have voted to decrease the policy rate by 25 basis points. The CBA made significant progress in decreasing inflation expectations after two years of very high inflation and significantly reducing the risk of deanchoring of inflation expectations. At the same time, significant uncertainty both in the external and domestic economies remains. In the U.S., economic activity has been sound, the progress in bringing back the inflation to its target has been significant; however, the uncertainty around the long-run neutral rate and the “last mile” of inflation is still present. The medium-term outlook for budget deficits in the U.S. adds significant upward pressure on terminal rates. Global and regional geopolitical risks are elevated which presents a Case A risk due to the potential impact on the risk premium and hence neutral interest rate in Armenia. Geopolitical risks, in my assessment, have increased markedly since the last policy decision. In the rest of the world, most notably EU and China, risks to economic activity are tilted downwards posing the main Case B risks. In the domestic economy low inflation has been accompanied with high growth, which is, however, concentrated in the services and construction sectors (demand-prone sectors) indicating that below-the-target inflation is not driven by deficient demand. While economic activity is strong, it is softening converging to potential growth rate. In addition, fiscal policy is one of the main Case A scenario drivers through the positive demand effects in the short run, but also due to the potential effects on risk premium as the level of public debt rises. This in turn may create pressure for risk premium to increase. At the same time, case B considerations from the domestic economy have been mainly reflected in the softness of the labor market and gradual slowdown of growth normalizing around its long-term potential. The moderation of wage growth as well as the uptick of unemployment in the first quarter of 2024 warrant a serious consideration of case B scenarios. The moderate decrease in unemployment in the second quarter, however, is positive news. The significant uncertainty about neutral interest rates, the path of the fiscal policy together with low inflation and some softness in the labor market motivates my vote to cut the policy rate by 25 basis points. This balances the risk of cutting too aggressively amid the significant uncertainty about the neutral rate and highly uncertain fiscal policy path against the risk of being slow in recognizing the potential softness in demand. The cost of policy error of cutting too aggressively and the potential policy reversal as opposed to failing to recognize the softness in demand in a timely manner is balanced in my view.

Deputy Governor Hovhannes Khachatryan

Considering the current economic developments and a comprehensive assessment of the primary risks and uncertainties, I vote in favor of lowering the policy rate by 50 basis points. My decision is primarily driven by Case-B type factors, which I find more concerning. The key uncertainties and risks associated with Case A-type scenarios include medium- to long-term inflationary pressures resulting from post-election developments in the United States, driven by an anticipated expansionary fiscal stance; regional geopolitical uncertainties contributing to elevated country risk premiums; public debt-related concerns; and potential increases in long-term interest rates within the domestic economy. Conversely, Case B-type risks are notably significant. These include weak external demand stemming from anticipated slowdowns in economic growth in the Russian Federation, the European Union, and China; declining commodity prices; fiscal policies that exert substantial restraint on aggregate demand; and downward price adjustments in the construction and real estate markets. Additionally, I assessed that the GDP gap is currently negative, particularly given the uneven growth across economic sectors. Weak labor market conditions and stagnant wage dynamics further underscore this assessment. Despite considering the probability of Case B-type risks materializing to be higher, I am guided by the "least regrets" principle of prudent risk management and find it necessary to account for Case A-type risks while addressing Case B-type concerns. Consequently, I believe that reducing the policy interest rate by 50 basis points offers the most balanced approach to mitigating the existing risks and uncertainties. This is especially pertinent given the slow decline in interest rates on government securities, AMD loans, and AMD deposits due to structural factors, which likely necessitate looser monetary conditions. I reaffirm my readiness to respond promptly and appropriately should new information or events necessitate a reassessment of the risk balance, ensuring the achievement of the 4% inflation target and maintaining price stability over the medium-term horizon.

Board Member Hasmik Ghahramanyan

At the December 10, 2024 CBA Board meeting, I voted in favor of reducing the policy rate by 25 basis points. In making this decision, I based my assessment on the current state of the economy, the policies implemented in the preceding period, my outlook on the economic trajectory, and scenario-based developments driven by various risks in the external and domestic economy, all with the commitment to bring inflation closer to the 4% target. I estimate that inflationary pressures transmitted to the Armenian economy from the external sector will remain insignificant, although geopolitical developments in the Middle East might pose certain risks. Developments in partner countries continue to indicate a moderate expansion of inflationary environments, but the external influences on Armenia's economy are likely to remain mildly inflationary, unless drastic geopolitical changes alter the dynamics of international trade relations. In terms of domestic economic developments, I assess the impact on aggregate demand over the foreseeable horizon as non-inflationary. Current trends in economic activity and labor market statistics suggest that inflationary pressures driven by domestic factors will not intensify. Inflation expectations have also declined. However, I do not exclude the possibility that fiscal policy developments could change the current situation by stimulating demand. I still believe that the outlook for neutral interest rate assessments remains uncertain, partly due to the complexities of estimating potential GDP and the country's risk premium, which, in turn, depends on the medium-term neutral interest rate levels formed in major global economies. A detailed analysis of the still-persistent premiums on the yield curve will provide a better understanding of the monetary policy transmission mechanism, which will create a clearer basis for determining the policy rate. I estimate that the most likely developments in Armenia point to a need for rate cuts, driven by a weakening in certain economic fundamentals. Although the challenge of clarifying the neutral interest rate threshold persists, I based my decision on the high probability of scenarios requiring rate reductions. Should the risks I have outlined, or other relevant information materialize, I am prepared to take the necessary measures to bring inflation closer to the target level of 4%.

Board Member Artak Manukyan

In the context of economic and financial developments in recent months, I have assessed the main sources of potential risks and uncertainties. Given this, I vote in favor of decreasing the policy rate by 50 basis points. A close examination of the data shows that the external sector poses certain upside risks, which could transmit weak inflationary effects to the Armenian economy. Case A-type risks continue to include the risks associated with the Federal Reserve maintaining interest rates at a relatively high level for an extended period. In the domestic economy, I believe that Case B-type risks are more likely to materialize. Specifically, a declining growth rate for capital inflows could result in risks of weakening aggregate demand. Moreover, it is expected that the Federal Reserve will once again lower its policy rate by 25 basis points at its upcoming meeting. It is worth noting that, taking into account regional developments and their impact, such as the dynamics of tourism flow, there are additional risks pointing toward further weakening of demand. Labor market conditions continue to weaken, as reflected in somewhat stabilizing wage growth, however, risks of additional demand pressures coming from fiscal policy remain real. Considering the inflation remaining well

below target in recent months, the thorough examination of current and underlying economic conditions, I am inclined to believe that a larger reduction in the interest rate is necessary to help manage effectively both the further undesirable decline in inflation expectations and the expectations of financial market participants. Given this, I believe a relatively large reduction in the policy interest rate to be an important step, which best manages the risks posed by, and minimizes the regrets stemming from, the relevant Case B-type scenarios materializing. I affirm that the CBA Board will continue to monitor economic development scenarios and, when necessary, take appropriate steps to ensure the price stability objective.

Board Member Levon Sahakyan

By discussing the economic developments, fundamentals, risks, and primary sources of uncertainty during the policy cycle, as well as considering market expectations, I vote in favor of reducing the policy rate by 25 basis points. Considering the positive developments in the U.S. labor market observed in recent months, along with persistently high inflation levels, I believe the Federal Reserve will pursue a gradual normalization of monetary policy conditions. In the EU and China, risks of economic slowdown persist, which could lead to a weakening of global demand. Under such conditions, I estimate that Armenia's economy will primarily experience deflationary or mildly inflationary pressures from the external sector. In the domestic economy, while external demand factors are gradually weakening, the high growth in domestic demand, particularly in private consumption and retail trade, indicates a relatively stable aggregate demand environment. This is also evidenced by the sustained growth in lending volumes, which supports both demand and the formation of a stable economic growth environment. Recent developments in the labor market, in my view, primarily reflect the stabilization of the demand environment and do not contain significant risks of a substantial weakening in overall demand. In the current context of uncertainties, I find Case A-type risks particularly concerning potential scenarios related to fiscal policy outlooks. Meanwhile, among Case B-type scenarios, I am especially concerned about risks associated with a slowdown in the construction sector and adjustments in real estate prices, which could lead to a significant weakening of overall demand. Balancing the uncertainties stemming from Case A- and B-type scenarios, I consider it appropriate to gradually reduce the policy rate in line with market expectations. I believe this is crucial for achieving the price stability objective.

Board Member Narek Ghazaryan

Considering the discussions with other Board members during the policy cycle, the analysis of current economic developments and fundamental conditions, as well as a comprehensive assessment of the main sources of risks and uncertainties, I vote in favor of reducing the policy rate by 25 basis points. My decision is based on the firm conviction that, although deflationary Case B-type risks dominate in the current phase of the economy and the medium-term horizon, there are significant inflationary Case A-type risks over the medium-term horizon. Highlighting the predominance of Case B-type risks, I note that inflation continues to slow down, and labor market conditions are weakening in the U.S., EU, UK, and other advanced economies. Considering the prolonged tight monetary conditions in these economies and the potential decline in asset prices, global inflation may decrease rapidly. Regarding domestic B-type risks, I note the ongoing slowdown in the growth rates of nominal wages in Armenia, the decline in the growth rates of external demand, and the overall inflation remaining below the Central Bank's target. Notably, if the above-normal economic activity in the real estate market, previously highlighted by the Central Bank, subsides, aggregate domestic demand will likely weaken, creating significant deflationary pressures. While describing the existing deflationary risks, it is also essential to address certain inflationary risks. In the U.S., there may soon be a significant increase in fiscal stimulus and heightened tensions in global trade, which could accelerate the inflation of certain globally traded goods. Regardless of these potential developments, international markets have already observed price increases in several food products. Further geopolitical tensions and a worsening of supply-side factors could accelerate inflation in food and raw materials. Additionally, inflation and inflation expectations in Russia continue to rise, significantly exceeding target levels. These developments in the external sector could amplify inflationary pressures in Armenia's economy, potentially increasing the economy's risk premium. Over the medium term, there are also inflationary risks tied specifically to Armenia's internal economic developments. These include high economic activity in trade and certain other services, increased fiscal stimulus provided to the economy, accelerated growth rates of loans extended to households and businesses, and the sustained rise in asset prices recorded in recent years. These factors could continue to stimulate domestic demand for a considerable period, creating additional inflationary pressures. Balancing the Case A- and B-type risks described, I am convinced that it is necessary to continue the Central Bank's policy of moderate reductions in the refinancing rate, aiming to achieve an inflation level close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and express my readiness to respond with appropriate measures to any new information that may pose risks to achieving the 4% inflation target and maintaining price stability over the medium-term horizon.

